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Co-operative Bank Q3'24 Earnings Note

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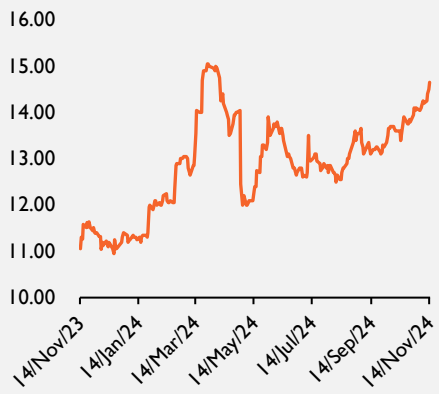
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Cooperative Bank Q3'24 Earnings Note

November 15th , 2024

Ticker Information	
NSE Code:	COOP
Issued Shares (Bn):	5.87
52-week high:	KES 15.20
52-week low:	KES 10.10

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	7.7%	15.4%	19.1%	32.6%

Source: NSE, AIB-AXYS Research

Analysts

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Recommendation	Current Price	Target Price
BUY	**KES 14.65**	**KES 16.81**

Summary

- **Cooperative Bank demonstrated modest performance, with net earnings rising 4.4% y/y to KES 19.21Bn.** Revenue climbed 10.8% y/y; however, this was partially offset by a slightly faster 12.7% y/y increase in total operating expenses. Net interest margin contracted 60bps y/y to 7.4% primarily attributable to elevated costs associated with deposit mobilization. Trailing return on equity declined 230bps y/y to 20.0% while trailing return on assets declined by 20bps y/y to 3.4%

Key Highlights

- **Robust Core Banking Performance:** Net Interest Income grew 12.3% y/y to KES 36.87Bn attributable to a robust 23.7% y/y increase in interest from loans and a 17.8% y/y increase in interest from government securities. Non Funded Income grew 8.2% y/y to KES 22.28Bn supported by a significant 51.3% y/y increase in forex trading income. Consequently, operating income paced up 10.8% y/y to KES 59.16Bn. The average yield on interest-earnings paced up 110bps y/y to 13.3% reflecting favorable reinvestment returns. However, this gain was more than offset by a 170bps y/y increase in the cost of funds to 5.9%, a consequence of the high interest rate environment during the reporting period. Consequently, the net interest margin contracted by 60bps y/y to 7.4%.
- **Asset Quality Deterioration:** Gross Non-Performing Loans (NPLs) surged by 13.1% y/y to KES 70.01Bn – triggering a 170bps y/y increase in the gross NPL ratio to 16.7%. The weakening credit performance was further compounded by a 160bps y/y decline in the NPL coverage to 60.5%. In response to these mounting asset quality pressures, management adopted a more conservative stance by boosting credit impairment provisions by 32.5% y/y to KES 5.58Bn.

Balance Sheet Dynamics

Customer deposits grew 18.7% y/y to KES 513.98Bn, providing strong funding support for the modest 0.9% y/y expansion of the loan book to KES 381.34Bn. Consequently, the loan-to-deposit ratio decreased by 13.20% y/y to 74.2%, indicating a more conservative lending stance. Management demonstrated tactical asset allocation by increasing its government securities portfolio by 14.3% y/y to KES 211.65Bn, capitalizing on attractive yields. Fair value position improved to a gain of KES 6.90Bn highlighting successful portfolio rebalancing amid yield curve movements.

Improving Efficiency

Operational efficiency showed marked improvement with the Cost-to-Income ratio (excluding loan-loss provisions) declining 60bps y/y to 45.8%. This improvement in efficiency was primarily driven by a faster 10.8% y/y increase in operating income outpacing the 9.3% y/y increase in pre-provision operating expenses.

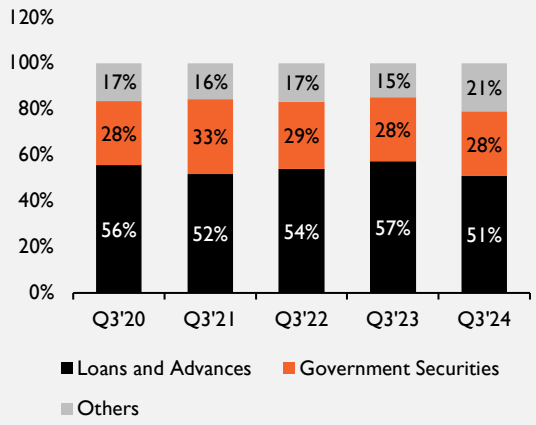
Outlook

We expect Cooperative Bank's growth outlook to be driven by a comprehensive strategy focused on digital transformation and broadening revenue sources. As more customers embrace digital banking channels, the bank is likely to achieve greater operational efficiency and business growth. Opportunities in MSME working capital lending offer potential scale advantages, while long-term growth should benefit from the rapid expansion of both banking and non-banking subsidiaries. Additionally, the bank's prudent loan portfolio is anticipated to grow through a distinct risk-based pricing approach, supporting an increase in interest income.

Recommendation

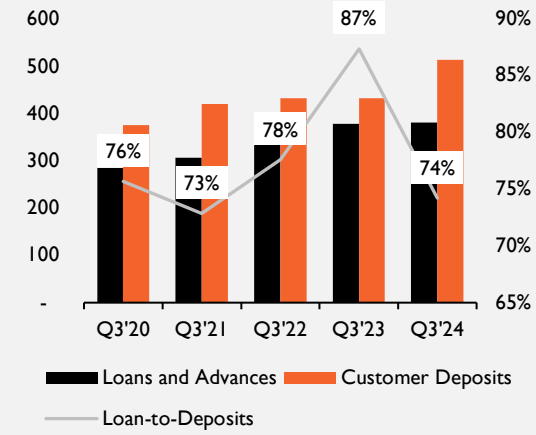
- **We maintain our *BUY* recommendation on Cooperative Bank driven by its steady and consistent growth outlook.** At the current market price, the stock is trading at P/E ratio of 2.9x and a P/B ratio of 0.7x. Our one-year target price for Cooperative currently stands at KES 16.81 - representing a c.14.8% upside potential from current levels.

Chart 2: Asset Composition



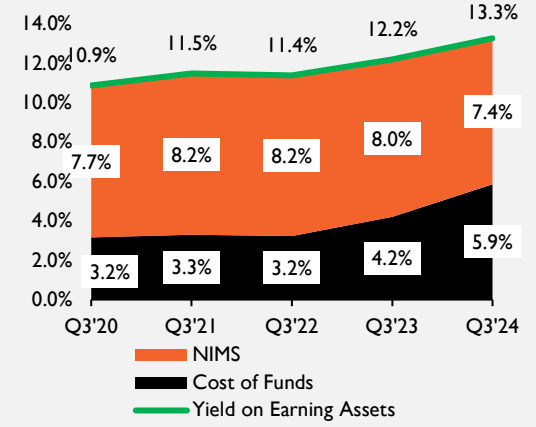
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Contracting Net Interest Margin



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Bn)	Q3'20	Q3'21	Q3'22	Q3'23	Q3'24	% y/y change
Net Interest Income	23.64	28.67	32.04	32.82	36.87	▲ 12.3%
Net non-Interest Income	13.19	15.73	20.17	20.59	22.28	▲ 8.2%
Total Operating income	36.82	44.40	52.21	53.41	59.16	▲ 10.8%
Provision for Impairment	(4.02)	(6.05)	(5.73)	(4.21)	(5.58)	▲ 32.5%
Total Operating expenses	(23.45)	(27.96)	(29.63)	(29.00)	(32.68)	▲ 12.7%
Profit before tax	13.41	16.48	22.73	24.69	26.78	▲ 8.5%
Profit after tax	9.43	11.63	17.10	18.39	19.21	▲ 4.4%
Annualized EPS	2.14	2.64	3.89	4.18	4.36	▲ 4.4%

Balance Sheet (KES Bn)	Q3'20	Q3'21	Q3'22	Q3'23	Q3'24	% y/y change
Government Securities	142.28	193.32	182.36	185.13	211.65	▲ 14.3%
Loans and Advances	284.23	306.32	335.16	378.08	381.34	▲ 0.9%
Total Assets	510.90	592.89	622.10	661.34	750.78	▲ 13.5%
Customer Deposits	375.46	420.44	432.00	432.84	513.98	▲ 18.7%
Total Liabilities	427.26	497.50	520.89	553.22	620.02	▲ 12.1%
Shareholder's Funds	82.03	95.04	100.89	108.08	131.83	▲ 22.0%

Ratio Analysis	Q3'20	Q3'21	Q3'22	Q3'23	Q3'24	% y/y change
Spreads Analysis						
Yield on Assets	10.9%	11.5%	11.4%	12.2%	13.3%	▲ 1.1%
Cost of Funds	3.2%	3.3%	3.2%	4.2%	5.9%	▲ 1.7%
Net Interest Margin	7.7%	8.2%	8.2%	8.0%	7.4%	▼ (0.6%)
ROaE	15.9%	9.2%	22.5%	22.3%	20.0%	▼ (2.3%)
ROaA	2.7%	1.5%	3.6%	3.6%	3.4%	▼ (0.2%)
Profit Margin	25.6%	26.2%	32.7%	34.4%	32.5%	▼ (2.0%)
Operating Efficiency						
Cost to Income Less LLP	52.8%	49.4%	45.8%	46.4%	45.8%	▼ (0.6%)
Cost to Assets Less LLP	3.8%	3.7%	3.8%	3.7%	3.6%	▼ (0.1%)
Loan to Deposit Ratio	75.7%	72.9%	77.6%	87.3%	74.2%	▼ (13.2%)
Asset Quality						
Gross NPL Ratio	13.5%	14.9%	14.2%	15.1%	16.7%	▲ 1.7%
NPL Coverage	50.1%	65.5%	69.3%	62.1%	60.5%	▼ (1.6%)
Cost of Risk	1.4%	2.0%	1.7%	1.1%	1.5%	▲ 0.3%
Capital Adequacy						
Core Capital/TRWA	16.3%	15.3%	15.5%	16.5%	18.5%	▲ 2.0%
Total Capital /TRWA	16.8%	17.0%	16.6%	20.5%	21.6%	▲ 1.1%
Liquidity	45.2%	55.7%	44.5%	52.3%	57.8%	▲ 5.5%



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